

IMBALANCES

Fair Value Gaps & Market Inefficiency

DOJO GAINS - Core Pillar 3

What is an Imbalance?

- An imbalance occurs when price moves too fast
- Creates a gap where not all orders were filled
- Also called: Fair Value Gap (FVG), Inefficiency
- Shows aggressive buying OR selling
- Price often returns to 'fill' or 'rebalance' the gap
- Key concept in ICT and Smart Money trading

Markets seek balance - imbalances get filled

Identifying a Fair Value Gap

- Look at 3 consecutive candles
- Middle candle = the 'displacement' candle (large body)
- Gap = space between Candle 1's wick and Candle 3's wick
- BULLISH FVG: Candle 3's LOW > Candle 1's HIGH
- BEARISH FVG: Candle 3's HIGH < Candle 1's LOW
- The gap area is your FVG zone

3 candles, 1 gap = FVG

Bullish Fair Value Gap

- Forms during strong upward moves
- Gap between Candle 1 HIGH and Candle 3 LOW
- Shows aggressive BUYING pressure
- Price often retraces DOWN to fill this gap
- FVG becomes a SUPPORT zone
- Look for LONG entries when price returns to FVG

Bullish FVG = Buy Zone on Pullback

Bearish Fair Value Gap

- Forms during strong downward moves
- Gap between Candle 1 LOW and Candle 3 HIGH
- Shows aggressive SELLING pressure
- Price often retraces UP to fill this gap
- FVG becomes a RESISTANCE zone
- Look for SHORT entries when price returns to FVG

Bearish FVG = Sell Zone on Rally

FVG Fill Levels

- 50% (Equilibrium/CE): Most common fill level
- 100% (Full Fill): Price fills entire gap
- Partial Fill: Price touches FVG but doesn't fill 50%
- The stronger the trend, the less likely a full fill
- Use 50% as your primary entry zone
- Mark the FVG on your chart and wait for price to return

50% is the sweet spot for entries

How to Trade Imbalances

- 1. Identify the trend direction
- 2. Look for displacement (big candle creating FVG)
- 3. Mark the FVG zone on your chart
- 4. Wait for price to retrace to the FVG
- 5. Enter at the 50% level with confirmation
- 6. Stop below/above the FVG, target next liquidity

FVG + Trend alignment = High probability

FVG + Confluence = A+

- FVG at an Order Block = strong
- FVG at a key support/resistance = strong
- FVG in a Killzone time = stronger
- FVG after liquidity sweep = strongest
- Multiple FVGs overlapping = mega zone
- Always combine FVG with other SMC concepts

More confluence = higher probability

Key Takeaways

- FVG = Gap created by fast price movement
- 3-candle formation: Check Candle 1 & 3 wicks
- Bullish FVG = Support zone for longs
- Bearish FVG = Resistance zone for shorts
- Target the 50% (equilibrium) for entries
- Price seeks to fill imbalances before continuing

Imbalances are magnets - price comes back